

Portfolio ESG Materiality Overview

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The purpose of this report is to give all SMIF members a general understanding of how ESG factors can hurt or benefit the companies in the SMIF portfolio. The first part of the report looks at the ESG risk cluster for the companies in the portfolio. This has been made by us following the SASB standards. This risk cluster is then exemplified in the second part of the report, which is an overview of the financial ESG risk and benefits for each company.

Risk can be how a flood (environmental factor) can temporarily stop business operations in the area. An opportunity can be that there is a drought in a country which is an opportunity for the company to provide access to clean water. By doing this, the company can promote their brand and expand their customer base in that country.

About the SASB risk cluster:

Each of the companies in the SMIF portfolio belongs to an industry. For example, easyJet belongs to the Airlines industry. The Airlines industry is more materially exposed to some categories of ESG risk than to others. This means that those specific categories are more likely to have a negative impact on the financial performance of the company. In the risk clusters, the column to the left shows the ESG risk category. The column to the right ('Size') shows how many companies are vulnerable to the specific category.



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Environmental

- Size: number of companies in the category

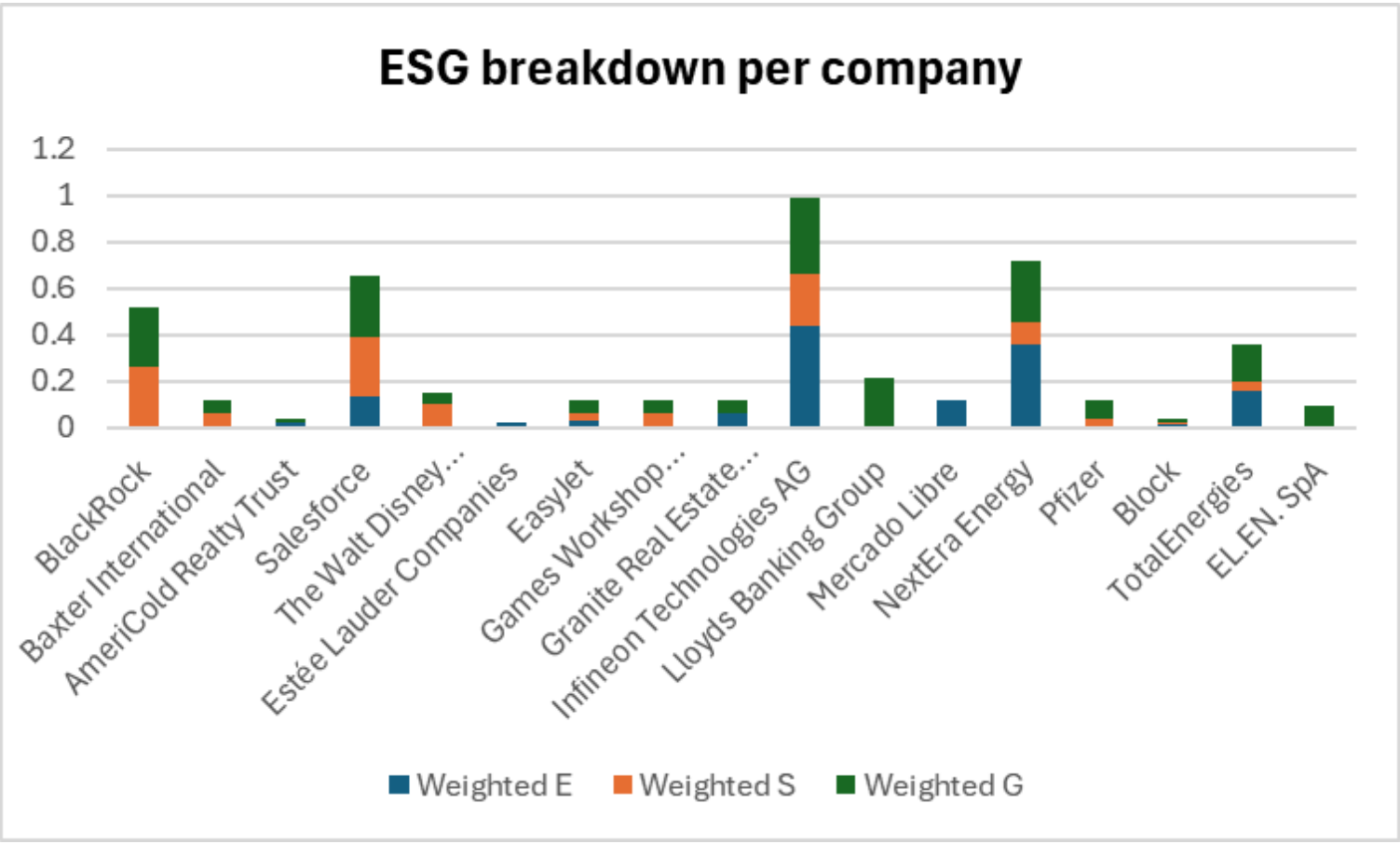
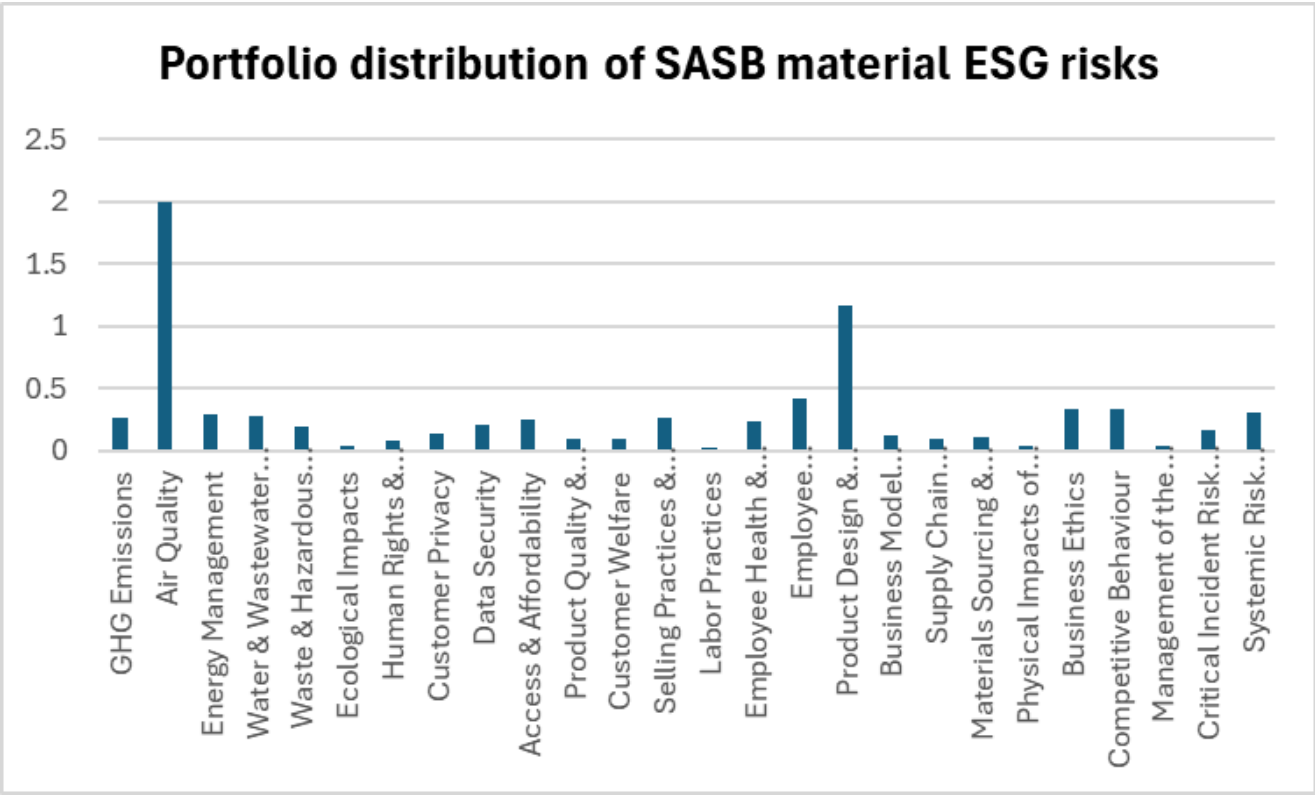
Category	Company	Size
GHG Emissions	easyJet, Infineon Technologies AG, Nextera Energy, TotalEnergies	4
Air Quality	Nextera Energy, TotalEnergies	2
Energy Management	Americold Realty Trust, Salesforce, Granite Real Estate Investment Trust, Infineon Technologies AG, Mercadolibre, Block	6
Water & Wastewater Management	Americold Realty Trust, The Estee Lauder Companies, Granite Real Estate Investment Trust, Infineon Technologies AG, Nextera Energy, TotalEnergies	6
Waste & Hazardous Materials Management	Infineon Technologies AG, Nextera Energy	2
Ecological Impacts	TotalEnergies	1

Social

	Category	Company	Size
Social Capital	Human Rights & Community Relations	Pfizer, TotalEnergies	2
	Customer Privacy	Salesforce, Mercadolibre, Block	3
	Data Security	Lloyds Banking Group, Salesforce, Mercadolibre, Block	4
	Access & Affordability	Lloyds Banking Group, Baxter International, Pfizer, Nextera Energy, El.En. SpA	5
	Product Quality & Safety	Baxter International, The Estee Lauder Companies, Pfizer, Games Workshop Group, El.En. SpA	5
	Customer Welfare	The Walt Disney Company, Pfizer	2
	Selling Practices & Product Labeling	BlackRock, Baxter International, The Walt Disney Company, Pfizer, El.En. SpA	5
Human Capital	Labor Practices	easyJet	1
	Employee Health & Safety	Infineon Technologies AG, Nextera Energy, TotalEnergies	3
	Employee Engagement, Diversity & Inclusion	BlackRock, Salesforce, Pfizer, Infineon Technologies AG, Mercadolibre, Block	6

Governance

	Category	Company	Size
Business Model & Innovation	Product Design & Lifecycle Management	BlackRock, Lloyds Banking Group, Baxter International, Americold Realty Trust, The Estee Lauder Companies, Granite Real Estate Investment Trust, Infineon Technologies AG, Mercadolibre, El.En. SpA	9
	Business Model Resilience	Nextera Energy, TotalEnergies	2
	Supply Chain Management	Baxter International, The Estee Lauder Companies, Pfizer, Games Workshop Group, El.En. SpA	5
	Materials Sourcing & Efficiency	Infineon Technologies AG	1
	Physical Impacts of Climate Change	Americold Realty Trust, Granite Real Estate Investment Trust	2
Leadership & Governance	Business Ethics	BlackRock, Lloyds Banking Group, Baxter International, Pfizer, El.En. SpA , TotalEnergies	6
	Competitive Behaviour	Salesforce, The Walt Disney Company, easyJet, Infineon Technologies AG, Block	5
	Management of the Legal & Regulatory Environment	TotalEnergies	1
	Critical Incident Risk Management	easyJet, Nextera Energy, TotalEnergies	3
	Systemic Risk Management	Lloyds Banking Group, Salesforce, Nextera Energy, Block	4



Key takeaways:

- From ‘Portfolio distribution of SASB material ESG risks’ above; here each company’s exposure to each category has been weighted to align the risk exposed to the overall portfolio. Therefore for example as BlackRock is one of the companies in the portfolio with highest weighting, its exposure to for instance ‘Energy Management’ counts more than a company with a lower weighting would. The more unevenly the companies are distributed between the categories, the more the SMIF portfolio is sensitive to sudden changes in regulation. It is clear from the chart that ‘Air Quality’ is the category that the Smif portfolio has the highest exposure to.
- From the ‘ESG breakdown per company’ chart; The bars show the weighted exposure to categories. This means that if two companies are exposed to the same number of categories, but one of the companies have a higher weighting in the SMIF portfolio, that company will have a higher bar. The chart shows that the portfolio is evenly exposed to each of the E, S and G material risks, however, there are large differences between the impact of the risks the companies are exposed to.

Detecting ESG risks and opportunities for SMIF

Company	ESG Risk	ESG Opportunity
BlackRock	Lost in 2025 for the second time a mandate with Dutch Pension Fund (this time worth \$5.9 billion) over ESG stance. This highlights the difficulties of adhering to customers with different preferences (US vs. European Pension Funds).	The EMEA business included \$30 billion from sustainable offerings through Q3 2025.
Baxter International	In Q4 2024, CFO Joel Grade told investors that Baxter expected approximately a \$200 hit to sales as their manufacturing site in North Carolina (US) was temporarily shut down due to disruptions from Hurricane Helene. Even though the hit was lower than expected the Earnings per Share decreased by \$0.14 following the hurricane.	In 2024, Baxter invested approximately \$12 million to complete 175 energy conservation projects. Operating expenses decreased from year 2023 to 2024 with about 57% and the reduced energy use (9.4% reduction) could likely be a reason.
AmeriCold	AmeriCold’s restructuring initiative ‘Project Orion’, described by the company as a “transformation program”, aims to restructure operations. AmeriCold projected \$90 million in annual savings, however the company failed to reach this goal. In fact, there was an overall 2.6% decrease in core EBITDA from year 2023 to 2024.	Their change to LED lightning in 2024 lowered GHG emissions by around 1.7 million tonnes CO2 and reduced annual energy use by 2,516,477 kWh. This lowers energy costs and reduces exposure to carbon tax.
Salesforce	GDPR Privacy Class Action (The Privacy Collective) with a €10 billion figure cited in the litigation seeks €500 per Dutch internet user. This means that Salesforce can budget based on calculations on how much they would need to pay in different scenarios, hence enabling risk mitigation.	The Octopus platform is “a sustainable blue economy matchmaking tool that connects investors with blue projects”.
Walt Disney Company	The New York Post reported on the 15 th of March “The Head of Disney’s Gaming Group responsible for iconic video games such as Spider-Man and Star Wars is suing The Walt Disney Company for \$40 million over claims of discrimination.”	The Walt Disney Company has identified sustainable products as a key revenue driver. Specifically, they have expanded their plush product portfolio to be made with at least 50% recycled materials.
Estée Lauder	Faces \$750,000 over environmental law violations in Canada for their use of PFAS in their products without notifying regulators as required. PFAS is a “forever chemical” that doesn’t break down, hence raising environmental concerns.	Scales its sustainable luxury products through brands like Aveda (expected to have 50% of its energy demand covered by solar power.)

Company	ESG Risk	ESG Opportunity
easyJet	easyJet considers possible increase in carbon tax a damage so material that they locked (hedged) 92% of their 2026 carbon needs at the rate at €64 per million tonnes.	Signed a \$1.75bn five-year Sustainability Linked Loan in 2023, lowering their costs as the rate of the loan is lower than the rate their normal rate.
Games Workshop Group PLC	Calls for shareholders to vote for non-executive director fees which exceed the current cap. If this goes through, it will mean that non-executive directors would be allowed more money than they currently are.	Games Workshop Group PLC role-modelling for other gaming sectors, banning use of AI in the design models. Revenue is still increasing to 332 million, 32.6m higher than previous year in 2025.
Granite Real Estate Investment Trust	Large exposure to specific tenants such as Magna international. If major tenants do not renew leases, revenue and occupancy could decline.	Granite has been recognised for strong ESG disclosure and sustainability performance ranking 1 st in its peer group in the U.S Industrial sector.
Infineon Technologies AG	The semiconductor manufacturer is experiencing issues with their supply chain as there are forced labour concerns in addition to concern about workforce retention. This could weaken reputation.	Green Industrial Power segment had a profit of €201m in the fiscal year ended 2025 which was 19.18% of the total profit for the period.
Lloyds Banking Group	Due to climate change, the costs of insurance are increasing which might reduce property values and mortgage. This affects Lloyds Banking Group as credit risk increases as it becomes more difficult for borrowers to pay.	Financing UK to transition to low carbon economy. Looking into long-term profit and social and environmental outcomes.
Mercado Libre	Faces material data privacy risk as they handle large volumes of personal data. One example is the data breach in 2022, when the hacker APSUS\$ could have exposed sensitive data of 300 000 users.	Supporting small-business growth and formalisation.

Company	ESG Risk	ESG Opportunity
NextEra Energy	In 2023 disclosures related to alleged election interference and legal risks likely was the main driver for NextEra Energy’s share price fall of 9% (reducing market cap by \$14 billion) in one day. Following this event, there was a securities class action alleging misleading disclosures.	\$24.6 billion annual clean capex positions NextEra as a leading green energy player, attracting ESG-focused investors.
Pfizer	Approximately \$6 billion of annual revenue is at risk by year 2028 as key drugs that Pfizer sells are losing patent protection.	\$11.4 billion R&D spend could yield new blockbuster drugs, offsetting patent cliff if pipeline executes.
Block	Faces potential regulatory penalties (\$295-375 million) from investigations by Consumer Financial Protection Bureau and the New York Department of Financial Services.	Clean-up of regulatory issues could restore investor confidence.
TotalEnergies	• \$4-5 billion Adani investment frozen due to bribery exposure • \$2.2 billion from UK/Netherlands state financing withdrawn from Mozambique LNG due to ESG stance	\$5 billion low-carbon capex positions them for energy transition
EL.EN.S.p.A	The rising trend in injury rate (currently at 9.16 while the Plan target is at 7) increases insurance and productivity costs. The group reported “EBIT recorded a positive balance of 77,8 million of euro, slightly down from 78,3 million of 31 December 2024 due to more significant provisions for risks and charges compared to the previous year, with the EBIT margin decreasing from 13,8% to 13,2%.” showing the financial impacts of the social issue of increased injury rate.	Their clean regulatory record with €0 in violations is a competitive ESG advantage as a strong CSRD/Taxonomy compliance positioning could unlock EU green capital.

Conclusion

This portfolio ESG materiality overview has shown that the SASB materiality risk category that most of the companies in the Smif portfolio are exposed to is the 'Lifecycle and Product Management' category. This category covers how a company managed the environmental and social impacts of its products (excluding general business operations) throughout the entire lifecycle. However, even though this was the category with largest size, after having weighted the risks to align with the weighting of the different holdings in the portfolio, the most material category for Smif is 'Air Quality'. Therefore, Smif needs to pay extra attention to news and regulatory changes that affect 'Air Quality' as it can substantially harm the portfolio.

Furthermore, even though the findings from the 'ESG breakdown per company' chart alone do not justify divestment, the high concentration of material ESG risk exposure in certain companies should encourage SMIF to shift holdings from high-risk companies (e.g. Infineon Technologies AG) towards those with lower exposure (e.g. AmeriCold Realty Trust). (a)

Lastly, from **Detecting ESG risks and opportunities for Smif**, it is clear that most of the companies in the portfolio are regularly exposed to several fines. However, not all are equally important to the overall financial performance of the firm. The two companies that are most important to follow closer are Baxter International and NextEra Energy, as both have had ESG issues directly impacting their financial performance (in terms of Earnings per Share and share price/ market cap reduction).

Glossary:

- EU ETS: EU Emissions Trading System works to reduce greenhouse gas emissions
- capex: capital expenditure are funds a company uses to grow or expand operations
- R&D: Research and Development
- SBTi: Science Based Targets initiative, provides a standardized framework for banks, asset managers, and insurers to align their lending and investment portfolios with the Paris Agreement

Notes

(a) We have not taken how the different categories might differ in severity of the financial impact into consideration when making this chart.

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